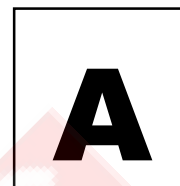


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T.B.C.: FIAS-SFG26

Test Booklet Series

TEST BOOKLET
GENERAL STUDIES

Time Allowed: ONE HOUR

Maximum Marks: 100

I N S T R U C T I O N S

- IMMEDIATELY AFTER THE COMMENCEMENT OF THE EXAMINATION, YOU SHOULD CHECK THAT THIS TEST BOOKLET DOES NOT HAVE ANY UNPRINTED OR TORN OR MISSING PAGES OR ITEMS ETC. IF SO, GET IT REPLACED BY A COMPLETE TEST BOOK.
- Please note that it is the candidate's responsibility to encode and fill in the Roll Number and Test Booklet Series A, B, C or D carefully without any omission or discrepancy at the appropriate places in the OMR Answer Sheet. Any omission/discrepancy will render the Answer Sheet liable for rejection.
- You have to enter your Name, Email Id and Mobile No. on the test booklet in the Box provided alongside. *DO NOT* write anything else on the Test Booklet.
- This Test Booklet contains **50** items (questions). Each item is printed in **English**. Each item comprises four responses (answers). You will select the response which you want to mark on the Answer Sheet. In case you feel that there is more than one correct response, mark the response which you consider the best. In any case, choose *ONLY ONE* response for each item.
- You have to mark all your responses *ONLY* on the separate Answer Sheet provided. See directions in the Answer Sheet.
- All** items carry equal marks.
- Before you proceed to mark in the Answer Sheet the response to various items in the Test Booklet, you have to fill in some particulars in the Answer Sheet as per instructions sent to you with your Admission Certificate.
- After you have completed filling in all your responses on the Answer Sheet and the examination has concluded, you should hand over to the Invigilator *only* the *Answer Sheet*. You are permitted to take away with you the Test Booklet.
- Sheets for rough work are appended in the Test Booklet at the end.
- Penalty for wrong answers:**
THERE WILL BE PENALTY FOR WRONG ANSWERS MARKED BY A CANDIDATE IN THE OBJECTIVE TYPE QUESTION PAPERS.
 - There are four alternatives for the answer to every question. For each question for which a wrong answer has been given by the candidate, **one-third** of the marks assigned to that question will be deducted as penalty.
 - If a candidate gives more than one answer, it will be treated as **wrong answer** even if one of the given answers happens to be correct and there will be same penalty as above to that question.
 - If a question is left blank i.e., no answer is given by the candidate, there will be **no penalty** for that question.

Name:

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Q.1) Consider investments in the following assets:

1. Brand recognition
2. Inventory
3. Intellectual property
4. Mailing list of clients

How many of the above are considered intangible investments?

- a) Only one
- b) Only two
- c) Only three
- d) All four

Q.2) Consider the following goods:

- I. Sugar purchased by a bakery to make cakes.
- II. A car purchased by a household for personal use.
- III. A tractor used by farmers for ploughing and sowing.
- IV. Steel sheets used by an automobile company to make truck bodies.

How many of the above goods are considered as capital goods?

- a) Only one
- b) Only two
- c) Only three
- d) All the four

Q.3) With reference to Investment in a country, in which of the following situations will Net Investment be equal to Gross Investment?

- a) When consumption of fixed capital is zero
- b) When there is 100% consumption of fixed capital
- c) When taxes are zero
- d) When subsidies are zero

Q.4) With reference to the circular flow of domestic income, consider the following:

- I. Household savings
- II. Imports of foreign goods
- III. Taxes paid to the government
- IV. Exports of Indian goods

Which of the above are considered as leakages from the circular flow of domestic income?

- a) I and III only
- b) I, II and III only
- c) II and IV only
- d) I, III and IV only

Q.5) Consider the following statements:

1. The Self-Help Group (SHG) programme was originally initiated by the State Bank of India by providing microcredit to the financially deprived.
2. In an SHG, all members of a group take responsibility for a loan that an individual member takes.
3. The Regional Rural Banks and Scheduled Commercial Banks support SHGs.

How many of the above statements are correct?

- a) Only one
- b) Only two
- c) All three
- d) None

Q.6) In a simple economy with only two producers, wheat producers (farmers) and bread makers (bakers). Farmers produce wheat and they do not need any input other than human labour. Farmers produce ₹100 worth of wheat in a year and sell ₹50 worth of it to bakers. The bakers use this wheat completely and produce ₹200 worth of bread. The bakers do not need any other raw materials besides wheat. Using this information, what is the aggregate value of goods produced in this economy?

- a) ₹300
- b) ₹250
- c) ₹200
- d) ₹150

Q.7) With reference to national income accounting, which of the following are included in Gross Value Added (GVA) under the Value Added Method?

- I. Value of intermediate goods consumed in production
- II. Value of positive change in inventories
- III. Value of exported goods
- IV. Value of second-hand goods sold

Select the correct answer using the code given below:

- a) II and III only
- b) I and IV only
- c) II, III and IV only
- d) I, II, III and IV

Q.8) Consider the following statements:

Statement I: Investment in financial assets such as shares and bonds is not included in the Expenditure Method of calculating national income.

Statement II: Investments in financial assets do not create any new goods or services and merely represent a transfer of ownership of existing assets.

Which one of the above is correct in respect of the above statements?

- a) Both Statement I and Statement II are correct and Statement II explains Statement I.
- b) Both Statement I and Statement II are correct but Statement II does not explain Statement I.
- c) Statement I is correct but Statement II is not correct.
- d) Statement I is not correct but Statement II is correct.

Q.9) In the context of national income accounting, which of the following are classified as product taxes?

- I. Excise duty
- II. Stamp duty
- III. Service tax
- IV. Export duty
- V. Land revenue

Select the correct answer using the code given below:

- a) I and II only
- b) II, III and IV
- c) I, III, IV and V
- d) I, III and IV only

Q.10) With reference to the present system of Gross Domestic Product (GDP) calculation in India, which of the following statements is/are correct?

- I. The National Statistics Office (NSO) releases the official estimates of GDP in India.
- II. The official GDP estimates in India are released at factor cost.

III. In India, Industry-wise estimates are presented as Gross Value Added (GVA) at basic prices.

Select the correct answer using the code given below:

- a) I and II only
- b) III only
- c) I and III only
- d) None of the above

Q.11) According to the Law of Diminishing Returns, in a production function, when more and more units of the variable factor are used, holding the quantities of a fixed factor constant, a point is reached beyond which?

- a) the marginal revenue will diminish
- b) the average revenue will diminish
- c) the marginal product will diminish
- d) the marginal product will increase

Q.12) In the context of how national income is measured, what does the concept of basic prices include in addition to factor cost?

- a) Net Product taxes only
- b) Net Production taxes only
- c) Both net product taxes and net production taxes
- d) Neither net product taxes nor net production taxes

Q.13) With reference to National income accounting, if a country's Gross National Product (GNP) is higher than its Gross Domestic Product (GDP), what does it indicate?

- a) The country has a trade surplus in goods and services.
- b) The country receives more net income from abroad than it pays abroad.
- c) The country receives lesser net income from abroad than it pays abroad.
- d) The country has higher depreciation of capital than investment.

Q.14) Which of the following best describes the concept of 'Potential Gross Domestic Product'?

- The highest level of output an economy can produce without causing upward pressure on inflation.
- The highest level of output an economy can produce when all factors of production operate at full capacity, despite causing inflationary pressures.
- The total value of final goods and services produced in an economy at current market prices in a given year.
- The level of GDP measured in purchasing power parity (PPP) terms, rather than in domestic currency at market exchange rates.

Q.15) With reference to physical capital in Indian economy, consider the following pairs:

Items	Category
1. Farmer's plough	Working capital
2. Computer	Fixed capital
3. Yarn used by the weaver	Fixed capital
4. Petrol	Working capital

How many of the pairs given above are correctly matched?

- Only one
- Only two
- Only three
- All four

Q.16) With reference to an economy, which of the following correctly describes the difference between Personal Income and Private Income?

- Personal income excludes transfer payments, while private income includes them.
- Personal income includes transfer payments, while private income excludes them.
- Personal income excludes undistributed profits, while private income includes them.
- Personal income includes household income, while private income excludes them.

Q.17) When both the supply and demand curves shift rightward simultaneously in a market, which of the following outcomes is certain in this situation?

- Equilibrium quantity definitely increases
- Equilibrium price definitely increases
- Both equilibrium quantity and equilibrium price definitely increase
- None of the above

Q.18) Consider the following statements regarding Gross Domestic Product (GDP) in an economy:

- Nominal GDP is measured at current prices, while Real GDP is measured using constant prices at a base-year.
- A GDP Deflator value greater than 1 indicates that Nominal GDP is higher than Real GDP.

Which of the statements given above is/are correct?

- I only
- II only
- Both I and II
- Neither I nor II

Q.19) Consider the following statements:

Statement I: Adam Smith advocated that the free market mechanisms should play the role of an invisible hand in the economy.

Statement II: The free market mechanisms always ensure the optimum socio-economic outcomes without fail.

Which one of the following is correct in respect of the above statements?

- Both Statement I and Statement II are correct and Statement II explains Statement I
- Both Statement I and Statement II are correct but Statement II does not explain Statement I
- Statement I is correct but Statement II is not correct
- Statement I is not correct but Statement II is correct

Q.20) Consider the following:

- I. Economic inequalities among people
- II. Environmental damage due to developmental activities
- III. Non-monetary exchanges in the form of unpaid work
- IV. Production of goods and services in an economy
- V. Living Standard of the population

How many of the above are not accounted for in the calculation of Gross Domestic Product (GDP)?

- a) Only two
- b) Only three
- c) Only four
- d) All the five

Q.21) Economic growth in country X will necessarily have to occur if

- a) there is technical progress in the world economy
- b) there is population growth in X
- c) there is capital formation in X
- d) the volume of trade grows in the world Economy

Q.22) In the context of economics, which of the following best describes the term "Goldilocks situation"?

- a) A phase of economic activity marked by rapid growth, rising inflation, and tightening monetary conditions.
- b) A state of stagflation reflecting slow economic growth combined with persistently high inflation and structural unemployment.
- c) A period of economic stagnation characterised by sluggish growth, falling demand, and elevated unemployment rates.
- d) A state of balanced economic conditions marked by moderate growth, low inflation and supportive monetary conditions.

Q.23) Consider the following statements:

Statement I: The World Bank classifies India as a low middle income country based on its Gross National Income (GNI) per capita.

Statement II: As per recent estimates by World bank, India's per capita income is about US\$ 5000 per annum in 2024.

Which one of the following is correct in respect of the above statements?

- a) Both Statement I and Statement II are correct and Statement II explains Statement I
- b) Both Statement I and Statement II are correct and Statement II does not explain Statement I
- c) Statement I is correct but Statement II is not correct
- d) Statement I is not correct but Statement II is correct

Q.24) With reference to Base year for Gross Domestic Product calculation in India, consider the following statements:

- I. The base year for Gross Domestic Product calculation in India currently is 2015-2016.
- II. It is changed periodically to capture the structural changes in the country.
- III. The Office of Economic Advisor, Ministry of Commerce and Industry announces the base year periodically for India's national accounts.

Which of the statements given above is/are correct?

- a) II only
- b) I and II
- c) III only
- d) II and III

Q.25) Which one of the following statements is true with regard to an economy which is on its production possibility frontier?

- a) The economy has to sacrifice some production of one commodity in order to increase the production of another commodity.
- b) There is no limit or constraint for the economy in the production of goods and services.
- c) The economy can produce more of one commodity up to a point without reducing the production of any other commodity.
- d) Its production possibility frontier is an upward-sloping curve.

Q.26) Consider the following statements:

Statement I: The United Nations Development Programme (UNDP) uses Gross National Income (GNI) per capita rather than Gross Domestic Product (GDP) per capita to compute its Human Development Index (HDI).

Statement II: Unlike GNI per capita, the GDP of a country inflates the value of economic growth by including the income of residents from abroad.

Which one of the following is correct in respect of the above statements?

- a) Both Statement I and Statement II are correct and Statement II explains Statement I
- b) Both Statement I and Statement II are correct and Statement II does not explain Statement I
- c) Statement I is correct but Statement II is not correct
- d) Statement I is not correct but Statement II is correct

Q.27) With reference to an economy, consider the following:

- I. Taxes
- II. Gifts
- III. Rent on land

How many of the above types of money receipts are classified as non-factor incomes in an economy?

- a) Only one
- b) Only two
- c) All the three
- d) None

Q.28) For the purpose of the calculation of national income in India, the domestic territory of India would include which of the following?

- I. Territorial waters of India
- II. Headquarters of International organisations located in India
- III. Embassies and military establishments of a foreign country in India
- IV. Oil and natural gas rigs and floating platforms operated by Indian residents in the international waters

Select the correct answer using the code given below:

- a) II and III only
- b) I and IV only
- c) I, II and IV
- d) I, III and IV

Q.29) Consider the following statements:

Statement I: Tea leaves purchased by a household consumer are considered as an intermediary good rather than a final good.

Statement II: Tea leaves are not consumed in the raw form, but they are used to prepare a drinkable beverage.

Which one of the following is correct in respect of the above statements?

- a) Both Statement I and Statement II are correct and Statement II explains Statement I
- b) Both Statement I and Statement II are correct but Statement II does not explain Statement I
- c) Statement I is correct but Statement II is not correct
- d) Statement I is not correct but Statement II is correct

Q.30) In context to the income method of calculating national income, which of the following is **not** treated as the compensation of employees?

- a) Payment of salaries
- b) Payment of bonus
- c) Free Accomodation
- d) Reimbursement of travelling expenses for a business tour

Q.31) Which of the following can be said to be essentially the parts of 'Inclusive Governance'?

1. Permitting the Non-Banking Financial Companies to do banking
2. Establishing effective District Planning Committees in all the districts
3. Increasing the government spending on public health
4. Strengthening the Mid-day Meal Scheme

Select the correct answer using the codes given below:

- a) 1 and 2 only
- b) 3 and 4 only
- c) 2, 3 and 4 only
- d) 1, 2, 3 and 4

Q.32) With reference to the Human Development Index (HDI), consider the following indicators:

- I. Life Expectancy at birth
- II. Intensity of Poverty
- III. Gross Enrolment Ratio
- IV. Employment Rate

How many of the above-mentioned indicators are currently used by the United Nations Development Programme (UNDP) to calculate the Human Development Index?

- a) Only one
- b) Only two
- c) Only three
- d) All the four

Q.33) In context to the types of goods in an economy, consider the following information:

Type of Good	Description/ Meaning	Example
I. Giffen Good	A commodity whose demand increases as its price decreases, and vice-versa.	Rice
II. Veblen Good	A commodity whose demand increases as its price increases.	Luxury Car
III. Inferior Good	A commodity whose demand decreases as the income of the consumer increases, and vice-versa.	Kerosene

In how many of the above rows is the information correctly matched?

- a) Only one
- b) Only two
- c) All the three
- d) None

Q.34) With reference to Opportunity cost, consider the following statements:

- I. The opportunity cost of an activity is the value of the next best alternative that is given up.
- II. When a commodity is given free to the public by the government, the opportunity cost will be zero.

Which of the statements given above is/are correct?

- a) I only
- b) II only
- c) Both I and II
- d) Neither I nor II

Q.35) In the context of national income accounting, the gap between GDP (at market prices) and GVA (at basic prices) widens in which of the following situations?

- a) When product subsidies are increased while direct taxes are reduced.
- b) When product subsidies are reduced while indirect taxes are increased.
- c) When both subsidies and direct taxes rise in the same amount.
- d) When both subsidies and indirect taxes decline in the same amount.

Q.36) Consider the following statements about Marginal Utility of a commodity:

Statement I: Marginal Utility from consuming each additional unit of a commodity can never become zero.

Statement II: Marginal utility measures the change in the total utility due to consumption of one additional unit of a commodity.

Which one of the following is correct in respect of the above statements?

- a) Both Statement I and Statement II are correct and Statement II explains Statement I
- b) Both Statement I and Statement II are correct and Statement II does not explain Statement I
- c) Statement I is correct but Statement II is not correct
- d) Statement I is not correct but Statement II is correct

Q.37) In the context of economics, an indifference curve represents all combinations of goods that provide equal satisfaction (utility) to a consumer. If an indifference curve is a straight line, what does it indicate?

- a) The two goods are perfect complements of each other for the consumers.
- b) One good is preferred over the other by consumers.
- c) The goods are perfect substitutes for each other for the consumers.
- d) Consumers have monotonic preferences toward both goods.

Q.38) Consider the following statements:

Other things remaining unchanged, market demand for a normal good might increase if,

- I. the price of its substitute goods increases.
- II. the price of its complementary goods increases.
- III. the income of people increases.
- IV. the price of that normal good increases.

Which of the statements given above is/are correct?

- a) II only
- b) I and III only
- c) II, III and IV
- d) I, II and III

Q.39) Consider the following goods:

- 1. Salt
- 2. Petrol/diesel
- 3. Designer cloths
- 4. Anti-diabetic drug
- 5. Mobile phones

With other factors remaining constant, for how many of the above goods is the price elasticity of demand likely to be inelastic?

- a) Only two
- b) Only three
- c) Only four
- d) All the five

Q.40) In the context of an economy, which of the following statements is most closely associated with the 'Engel's Law'?

- a) As the income of a household increases, the share of income spent by that household to buy inferior goods steadily rises.
- b) Assuming all other factors remain constant, as the price of a good increases, consumers reduce the quantity demanded of that good.
- c) As the income of a household increases, the proportion of income spent on basic necessities remains constant.
- d) As the income of a household increases, the proportion of income spent by that household on food declines.

Q.41) Which one of the following is **not** correct?

- a) The average revenue and marginal revenue curves of a perfectly competitive firm are perfectly elastic.
- b) The marginal revenue curve of the monopoly firm is above its average revenue curve.
- c) In the long-run a competitive firm earns only normal profits.
- d) In equilibrium, the marginal cost curve of the monopoly firm may be rising, falling or constant.

Q.42) In the context of an economy, the 'Lorenz Curve' is primarily used to represent the relationship between:

- a) Cumulative proportion of population and cumulative proportion of income earned by that population in an economy
- b) Tax revenue trends and the rate of GDP growth over time in an economy
- c) Changes in the inflation rate relative to variations in interest rates in an economy
- d) Levels of public expenditure and the magnitude of fiscal deficit in an economy

Q.43) With reference to price regulations in markets, consider the following provisions:

- I. Minimum Support Price (MSP) announced by the Government for crops
- II. Maximum Retail Price (MRP) printed on packaged goods
- III. Minimum wages fixed by the Government for labour
- IV. Maximum Price that can be charged for essential medicines under the Drugs Price Control Order.

Which of the above are examples of the price floor?

- a) I, II and III only
- b) I and III only
- c) II and IV only
- d) I, II, III and IV

Q.44) With reference to the market structure, which of the following are the key features of Monopolistic Competition?

- I. Presence of a large number of firms
- II. No close substitutes for the products
- III. High advertising cost
- IV. Non-price competition through promotions and gifts

Select the correct answer using the code given below:

- a) I, II and III only
- b) I, III and IV only
- c) II, III and IV only
- d) I, II, III and IV

Q.45) If farmers' loans are waived in India, how will it affect the aggregate demand in the economy?

1. Private consumption impact via increase in private sector net wealth
2. Public sector impact via changes in government expenditure/taxes
3. Crowding-out impact via higher borrowings by State Governments
4. Crowding-in impact via higher credit availability as bank NPAs fall

Select the correct answer using the codes given below.

- a) 1, 2 and 3 only
- b) 1, 2, 3 and 4
- c) 3 and 4 only
- d) 1 and 2 only

Q.46) With reference to Economic Development, consider the following factors:

- I. A positive GDP growth rate
- II. A high proportion of the working-age population
- III. High investment rates
- IV. Low inflation rate in the economy
- V. High literacy rate among the population

How many of the above factors necessarily lead to economic development?

- a) Only three
- b) Only four
- c) All the five
- d) None

Q.47) In the context of macroeconomics, the "Paradox of Thrift" refers to which of the following situations?

- a) A situation in which increasing access to financial markets lowers the savings rate of an economy.
- b) A condition where inflation makes savings harmful for households in the long run.
- c) The situation where a rise in the savings rate of individuals can cause a fall in the overall savings in an economy.
- d) A situation where government expenditure decreases with a rise in the savings rate in an economy.

Q.48) Consider the following statements:

Statement I: National defence is considered as a public good.

Statement II: Public goods are non-excludable and non-rivalrous in consumption.

Statement III: All Public goods are free goods.

Which one of the following is correct in respect of the above statements?

- a) Both Statement II and Statement III are correct and both of them explain Statement I
- b) Both Statement II and Statement III are correct but only one of them explains Statement I
- c) Only one of the Statement II and Statement III is correct and that explains Statement I
- d) Neither Statement II nor Statement III is correct

Q.49) Consider the following statements:

Statement I: Transfer payments are excluded from the calculation of national income in an economy.

Statement II: Transfer payments represent transfer of money without any goods or service being exchanged in return.

Which one of the following is correct in respect of the above statements?

- a) Both Statement I and Statement II are correct and Statement II explains Statement I
- b) Both Statement I and Statement II are correct, but Statement II does not explain Statement I
- c) Statement I is correct, but Statement II is not correct
- d) Statement-I is not correct, but Statement-II is correct.

Q.50) With reference to macroeconomic cycles, the term 'pent-up demand' is used to describe which of the following situations?

- a) A rise in market demand caused by oversupply of goods and services.
- b) A rise in aggregate demand that results directly from expansionary government spending.
- c) A sharp rebound in consumer demand after a period of suppressed or postponed spending.
- d) A demand that increases due to aggressive advertising and marketing campaigns.